

THE BUZZ

REGULATION

SEBI TIGHTENS ITS GRIP

The capital markets regulator is changing tack; it will go after regulated entities that associate with unregistered finfluencers

BY NAVNEET DUBEY

PHOTO BY GETTY IMAGES



► **THE SECURITIES AND** Exchange Board of India (Sebi) has made a series of interventions over the past year to check illegal stock advice being dispensed by financial influencers, or finfluencers, but with limited results. Finfluencer content continues to flourish in the face of repeated strictures from the regulator and the imposition of fines in some instances.

That has prompted Sebi to change tack. At a meeting at the end of June, Sebi's board decided that it was time to crank the pressure up a notch. It will now impose penalties on entities it regulates if they associate with finfluencers who give stock advice illegally.

Presenting the new framework after that meeting, Sebi Chairperson Madhabi Puri Buch spelt out the changes. "As you know, we have jurisdiction over entities that we regulate," the Chairperson remarked. It can regulate only registered investment advisors and research advisors who come under its purview.

Such organisations cannot affiliate with individuals who dole out investment advice without getting registered with Sebi. "The second is, irrespective of whether they are

DRAWING A LINE The rules will more clearly highlight the line between educational content and stock advice that has blurred in recent times